

FUTURE CFO_DP · TEACHING CASE

The First Hike in Nearly Four Years

On 7 October 2026 the Monetary Policy Committee raised the policy repo rate by 25 basis points to 5.50 percent and shifted the stance from neutral to calibrated tightening. A composite castings firm must decide, before Monday, what belongs in the board pack — and what does not.

Date of case: 8 October 2026. Protagonist: Arvind Deshmukh, CFO, Narmada Alloys Private Limited — a composite teaching firm, not a real filing. Policy facts are from the RBI Monetary Policy Statement of 5–7 October 2026, the Governor’s statement, The Hindu (7 October 2026) and Reuters (7 October 2026). Created and Copyright by Dr. Debasis Pahi, Assistant Professor, Model Degree College, Malkangiri. Ph.D., IIT Kharagpur.

The morning after

Arvind Deshmukh read the resolution twice before he opened the cash-credit schedule. The number was not dramatic. Twenty-five basis points. The policy repo rate under the liquidity adjustment facility now stood at 5.50 percent. The standing deposit facility rate stood at 5.25 percent. The marginal standing facility rate and the Bank Rate stood at 5.75 percent. The stance, neutral through the long hold, was now calibrated tightening.

He had expected a hold. Reuters later noted that nearly 60 percent of economists in its poll had looked for a 25 basis point increase. Deshmukh’s Friday note to the managing director had said the Committee could go either way and that the firm should not build a cut into the second-half plan. He was glad of that sentence. He was less glad of the August capital-expenditure paper still in the board folder, with a hurdle rate that assumed 5.25 percent and a neutral stance.

The meeting was the sixty-third of the Monetary Policy Committee, held from 5 to 7 October 2026 under Governor Sanjay Malhotra. The other members were Dr Nagesh Kumar, Shri Saugata Bhattacharya, Professor Ram Singh, Dr Poonam Gupta and Shri Indranil Bhattacharyya. On the rate, the vote was unanimous. On the stance, the Governor said the change was by a majority of four to two. The resolution did not invite a cut. Rate cuts were off the table in the near term. The next action could only be a hike or a pause. Duration and extent would depend on actual growth and inflation, especially underlying inflation, the broadening of price pressures, second-round effects of the supply shock, and demand.

“It underscored that given the current conditions, rate cuts are off the table in the near term and policy action ahead can only be a rate hike or a pause, depending on the evolving conditions and the outlook,” the Governor said. At the press conference he described calibrated tightening as a milder form of tightening, more data-dependent than pre-determined. One sentence stopped the easing story. The other stopped anyone from treating 100 basis points by March as a fact.

How the firm got here

Narmada Alloys Private Limited does not exist. It is a composite, so students can do the arithmetic without borrowing a listed company’s loan file. Place it in Vidarbha. Steel castings. Two commercial-vehicle customers and one renewable-equipment customer. Unlisted. Fund-based working capital of ₹180 crore, mostly cash credit linked to an external benchmark. A term loan of ₹40 crore against a machining line already half installed. Receivable days of 78. Payable days of 41. Inventory of roughly 52 days of cost. No material foreign-currency borrowing. No rating trigger that flips the margin if the sovereign curve moves.

In August the board had approved, in principle, a further ₹70 crore machining line. The paper used a cost of debt of 9.1 percent and a cost of equity that had not been refreshed since the December 2025 cut. The August policy had held the repo at 5.25 percent and kept the stance neutral, with real GDP for 2026–27 then projected at 6.7 percent and CPI inflation at 5.0 percent. Deshmukh had told the board that a hold was not a freeze in the cost of

equity. He had not re-cut the hurdle. The October decision made that omission visible.

The path into October is short. In the easing cycle the Committee cut the repo by 125 basis points, from 6.50 percent to 5.25 percent. The last cut, to 5.25 percent, came in December 2025. The next four meetings held the rate. On 7 October the hold ended. The Hindu described it as the first increase in nearly four years. The previous long hold had kept the rate at 6.50 percent from April 2023 to December 2024, before easing began.

What the Bank said about the economy

The Committee did not hike into a stall. The Governor said the Indian economy had been strong, that momentum remained broad-based, and that the economy was expected to remain resilient. The global context remained challenging on account of geopolitical developments. Inflation had changed character. Headline CPI was expected to average almost 5.8 percent over the next three quarters, including the current one. Core inflation was projected at 4.4 percent for the financial year. “Inflation and its outlook are not benign as they were last year,” he said. There was some evidence of elevated inflation expectations and a broadening of price pressures.

Reuters reported two revisions a CFO should copy with the source attached. The inflation forecast for the current financial year was lifted to 5.2 percent from 5 percent. The real GDP growth forecast was lifted to 7.1 percent from 6.7 percent. Core was seen at 4.4 percent, from 4.3 percent earlier. Growth up, inflation up, stance tighter. That combination is awkward for a firm whose customers finance trucks. Volume can hold while the cost of carrying receivables does not.

Sakshi Gupta, economist at HDFC Bank, told Reuters she expected another 50 to 75 basis points of hikes over the coming months. Mark that sentence as an analyst’s view. The resolution does not contain it. The Governor said the duration and extent of any cycle would be contingent on the data. A board that books 75 basis points as policy has confused a forecast with a decision.

Exhibit 1. Policy rates, before and after 7 October 2026

Instrument	After August 2026 hold	After 7 October 2026	Change
Policy repo (LAF)	5.25%	5.50%	+25 bps
Standing deposit facility	5.00%	5.25%	+25 bps
Marginal standing facility	5.50%	5.75%	+25 bps
Bank Rate	5.50%	5.75%	+25 bps
Stance	Neutral	Calibrated tightening	Changed; 4–2

Sources: RBI resolution, 5–7 October 2026; August 2026 resolution for the prior column; Governor’s statement for the 4–2 stance vote.

Exhibit 2. Forecasts the pack should cite, not invent

Item	August 2026 projection	October 2026, as reported
Real GDP, 2026–27	6.7%	7.1% (Reuters, from 6.7%)
CPI inflation, 2026–27	5.0%	5.2% (Reuters, from 5%)
Headline CPI, next three quarters	—	Almost 5.8% (Governor)
Core inflation, this year	—	4.4% (Governor; Reuters: from 4.3%)

Do not merge the Governor’s 5.8 percent three-quarter average with the 5.2 percent full-year forecast. They answer different questions.

The arithmetic he can defend

A 25 basis point pass-through on ■180 crore of fund-based working capital, if the bank transmits in full, is ■45 lakh of extra interest a year, before tax. On the ■40 crore term loan the same pass-through is ■10 lakh. Together, ■55 lakh. Against a firm of this scale that is not a survival event. It is large enough to move interest cover if volume is soft, and large enough that a director will ask why it was not in the pack.

The analyst path is a sensitivity, not a base. Fifty basis points on ₹220 crore of rupee fund-based debt is ₹1.10 crore a year. Seventy-five basis points is ₹1.65 crore. Deshmukh's rule was that the base case would use only what the Bank had already done, and that 50 and 75 would sit in columns labelled "not policy."

Transmission is the hinge. An external-benchmark cash credit does not reprice because a newspaper prints 5.50. It reprices on the reset date in the facility agreement, by the change in the contracted benchmark, plus any spread the bank is entitled to move. He drafted a letter asking for the reset date on the cash credit, the reset date on the term loan, and the basis-point change the bank intended to apply. Until that letter came back, the ₹45 lakh figure would be marked "if fully and immediately transmitted."

Exhibit 3. Interest delta on the composite rupee book

Book	Amount	+25 bps	+50 bps	+75 bps
Cash credit / working capital	₹180 cr	₹0.45 cr	₹0.90 cr	₹1.35 cr
Term loan	₹40 cr	₹0.10 cr	₹0.20 cr	₹0.30 cr
Total fund-based	₹220 cr	₹0.55 cr	₹1.10 cr	₹1.65 cr

Annual, pre-tax, full pass-through, no change in average utilisation. Composite. Not a filed account.

Why the cost of equity does not wait

A hold in the repo does not freeze the weighted average cost of capital. Equity holders reprice when the risk-free proxy moves, when the equity risk premium moves, or when the firm's own cash-flow risk moves. A hike makes the first channel harder to ignore. If a student builds cost of equity as a risk-free rate plus a premium, and if the risk-free proxy is allowed to rise with the policy rate while the premium stays put, WACC rises before any bank writes a new sanction letter.

Deshmukh did not pretend to know the equity risk premium on 8 October. He knew two narrower things. The August paper had used a stale cost of equity. Two of the three directors who would vote on the machining line were allergic to false precision. He proposed to show the project at the old hurdle, at a hurdle 25 basis points higher on debt only, and at a hurdle 25 basis points higher on debt and 25 basis points higher on equity. If the line cleared the middle case, it was still a project. If it cleared only the old case, the August approval had been a rate view wearing a project's clothes.

He refused a fourth column in which marketing suggested "assuming the hike is reversed by April." The resolution had just said cuts were off the table in the near term. Putting a cut back into the base case on the morning after would have been a failure of reading.

Customers, days, and the contract

Two of Narmada's supply contracts allow a quarterly pass-through of metal and energy. None mention interest. The commercial-vehicle customers finance their dealers off the same policy rate that just moved. A dearer loan at the dealer does not show up in Narmada's metal clause. It shows up, if it shows up, in offtake and in the argument over 78 receivable days.

Seventy-eight days of receivables against forty-one days of payables is a funding choice the firm has lived with because the customers are concentrated and the castings are specified. On a floating book, that choice now has a higher carry. The commercial director wanted a financing surcharge. Deshmukh thought it would be rejected and would sour the quarterly price talk. His alternative was narrower: ask the largest customer to move from 75 to 60 days on new orders from January, and fund the gap by cutting finished-goods inventory rather than by drawing more cash credit. He did not know if the customer would agree. He knew the ask was more honest than a surcharge the contract did not allow.

He did not capitalise the higher interest onto the half-installed line to protect profit. Borrowing costs belong in the asset only to the extent the standard, and the firm's policy, already allow. A rate hike is not a reason to rewrite the capitalisation policy on a Thursday.

The covenant, in basis points

The term loan tests interest cover on earnings before interest and tax, at 2.5 times, on a trailing twelve-month basis. Last reported cover was 3.4 times. Headroom in turns is a weak way to brief a board. At the current interest bill, cover could fall to 2.5 times if EBIT dropped by roughly a quarter, or if interest rose far enough to close the same gap. A 25 basis point full pass-through did not, by itself, break the covenant. A 25 basis point pass-through plus a soft third quarter in commercial vehicles might. The pack would show the combination, not a sentence that said "comfortable."

The facility counted interest on the term loan and on the cash credit. It did not count lease interest on a small leased-crane arrangement outside the test. A student who adds every finance cost in the profit-and-loss account will mis-state headroom. Accounting verifies the numerator and the denominator against the contract.

What the model is allowed to do

Deshmukh let an assistant draft the sensitivity table from the facility balances and the three rate shocks. That is a fair use. The model did not know the reset date. It did not know that the August GDP and CPI projections had been revised. It did not know that Gupta's 50 to 75 basis points was a quote to Reuters and not a line in the resolution. Left alone, it produced a clean table with a base case of 75 basis points "given the new stance," and a footnote that cited no document.

He sent it back. AI generates the draft. Data — the resolution, the Governor's statement, the Reuters forecast revisions, the bank's reset letter — inform it. Finance measures the interest delta and the change in net present value. Accounting verifies interest expense, capitalisation, and the disclosure of borrowing costs against the contracts. Human judgment decides whether the machining line still earns its keep, and whether the customer will share the cost of money.

Judgment also included what not to say. The firm is not a bank. The Commercial Banks – Governance Directions, 2025, which narrowed who may sit as a bank CFO, are real and have been visible in appointment filings. They are not Deshmukh's constraint. Mentioning them to sound current would waste the board's first five minutes.

The five lines

1. State the decision as the Bank stated it. Repo 5.50 percent, unanimous. SDF 5.25. MSF and Bank Rate 5.75. Stance: calibrated tightening. Cuts off the table. Next action a hike or a pause.
2. Ask the bank, in writing, for reset dates and the basis-point change. Until the reply, mark every interest delta as conditional on full transmission.
3. Split the book: external benchmark, MCLR, fixed, foreign currency. Model only the first as moving one for one with the policy rate.
4. Re-run the ₹70 crore machining line at debt plus 25, 50 and 75 basis points, and at equity plus 25. Do not kill it for a headline. Do not keep it on a stale hurdle.
5. Restate interest-cover headroom against the contract definition. Show the combination of a higher bill and softer offtake. Do not capitalise the hike into the asset to flatter profit.

He left Gupta's 50 to 75 basis points in an appendix, labelled as an economist's view reported by Reuters. He left the old August projections in a second appendix, so a director who still had the September pack would see what had been revised. He struck the assistant's sentence that called the cycle "the start of a long tightening." The

Governor had refused that sentence. The CFO would not put it back.

A classroom hour

Teach it in seventy-five minutes with the resolution open. Ten minutes on the decision and the corridor. Ten on the path from 6.50 percent. Fifteen on Exhibit 3, with one student forced to say “if fully transmitted.” Fifteen on the August capex note. Ten on the contract that does not mention interest. Ten on the covenant definition. Five on what the model got wrong. The last ten belong to the close. If the hour ends on a prediction of the next meeting, the hour has failed. Do not supply a “right” equity risk premium. A student who copies 6 percent from a previous course and calls it the Reserve Bank’s number has made the assistant’s mistake.

Worked illustration — label every assumption

Average utilisation in the illustration is ■160 crore of the ■180 crore limit, because the firm does not draw the last twenty crore except in dispatch weeks. A 25 basis point full pass-through on ■160 crore is ■40 lakh a year, not the ■45 lakh that uses the limit. The pack uses both, and says which is which. Directors shown only the limit figure will think the function has rounded up. Directors shown only utilisation will not see the headroom the firm can still draw, now at a dearer rate.

The term loan is fully drawn. If it resets quarterly and the last reset was 1 September, the 7 October decision does not touch the October interest line. It touches the December line. A student who expenses the full ■10 lakh in the December quarter has pulled forward a cost the contract has not yet charged. Accounting verifies the period. Finance can still show the annualised run-rate.

For the machining line, keep the illustration small. Outlay ■70 crore. Life seven years. Straight-line, no salvage, classroom only. Annual operating cash flow before interest, ■16 crore in the August paper. The case does not require a false-precision net present value. It requires the student to say whether clearance depended on the third digit of the hurdle. If it did, the August approval was fragile, and the hike merely revealed it. Tax sits outside on purpose. The firm’s marginal rate is not a public fact, because the firm is composite. The pack Deshmukh sends is pre-tax.

The letter, and the surcharge that lost

The letter asked four things. The reset date on the cash-credit benchmark. The reset date on the term loan. The basis-point change the bank would apply if it treated the repo move as transmitted. And whether any contractual spread review, separate from the benchmark, was being opened because of the stance. He did not ask the bank to predict December. A copy went to the company secretary so the Monday pack would not contain a number the bank had not confirmed.

The commercial director’s surcharge was two percent on invoices from November, a “financing recovery.” It would have raised about ■1.1 crore a year if customers paid it. There was no clause. There was a metal-and-energy formula, a volume rebate, and late-payment interest after the due date. Late-payment interest is not a vehicle for a policy hike. The cleaner options were a fifteen-day improvement in terms with the largest customer, and an inventory cut of four days of finished goods, which needed no customer’s signature. Students who reach for price before days have skipped the contract.

Accounting, on the points that bite

Three questions survive after the economics are accepted. Period: interest is charged when the contract says it is charged. A resolution is not an invoice. Capitalisation: borrowing costs go into a qualifying asset only while preparation continues, and only under the existing policy. The hike does not expand the set of costs that qualify. Disclosure: the board note and the lender note must carry the same floating share. If they differ, the function has two stories. A fourth point is easy to miss. Re-running the August paper is not an impairment. No one should book

an impairment because a hurdle moved 25 basis points. Continuing or stopping the spend is a board decision, not a journal entry dressed as prudence.

What this is not

It is not a bank case. It is not a call on the December meeting. The Governor said the length of any cycle depends on growth, underlying inflation, broadening price pressures, second-round effects, and demand. A student who fills that sentence with a number has stopped reading it. It is not a claim that every firm's WACC rose by 25 basis points on 7 October. Premia can move the other way. Spreads can lag. A firm on fixed-rate debentures does not feel the cash debit until refinancing. This case is built on a floating book because that is where the decision shows up first.

The vote split, and the phone screen

The rate vote was unanimous. The stance vote, the Governor said, was four to two. The statement used here does not name the dissent. The honest line on 8 October is that the split was on the stance, not on the 25 basis points, and that a dissent on stance is a reason to keep the next step open between hike and pause. It is not a reason to invent the dissenters' arguments. When the minutes are published, the case can be updated. Until then the minutes are not a source. Deshmukh wrote "stance 4–2, names not in the statement I have" and moved on.

One director would read the pack on a phone. The first five lines were written for that screen. The repo is 5.50 percent. The vote on the rate was unanimous. The stance is calibrated tightening, and cuts are off the table. The cash credit is on an external benchmark; the bank has been asked for the reset date. The August paper will be re-run before anyone is asked to confirm the spend. He did not attach the assistant's first table. A pause is inside the stance. A 75 basis point base case writes the pause out.

Discussion questions

1. The rate vote was unanimous and the stance vote was 4–2. Why might a CFO care about the split, and what would it be a mistake to infer?
2. What changes if the bank transmits only on the cash credit, and only from the next reset, forty days away?
3. Construct a three-column hurdle without inventing an equity risk premium you cannot source. What must you label as assumption?
4. Is a surcharge, a request for 60 days, or an inventory cut the cleaner response — and which one does the contract allow?
5. Cover is 3.4 times against a 2.5 times test. Why is "comfortable" an inadequate sentence after 7 October?
6. Which sentence in the Governor's statement makes a 75 basis point base case a misread?
7. Where does accounting constrain the CFO even after the economics of the hike are accepted?

Assignment. Write the one-page board note. Use only the policy facts in this case. Label Narmada's figures as composite. Include the conditional interest delta, the three-column capex gate, the covenant in words a director can test, and one commercial option the contract allows. Put Gupta's range in a footnote or leave it out. Do not predict the next meeting.

Crib for the instructor

Question 1: the split matters because the stance, not the 25 basis points, shuts the door on cuts and leaves hike or pause. Do not award marks for guessed names. Question 2: the annualised delta is still ■45 lakh once it transmits, but a forty-day delay means the current quarter does not take a full quarter's share. Booking ■45 lakh in December fails the period test. Booking nothing fails the board. Question 3: the mark goes to labelling, not to a net

present value carried to the lakh. Question 4: the contract allows the metal formula, the rebate, and late-payment interest after the due date. It does not allow a financing surcharge. Question 5: dearer dealer finance is a plausible channel into offtake. The combination belongs in the note. Question 6: the Governor's sentence — cuts off the table; next action a hike or a pause — kills the 75 basis point base case. Seventy-five is Gupta's view, reported by Reuters. Question 7: period, capitalisation, disclosure. The resolution is not an invoice.

A pass requires the public numbers to match the resolution: 5.50, 5.25, 5.75, unanimous on the rate, calibrated tightening, cuts off the table. A distinction requires the composite figures to be labelled, the analyst path kept out of the base case, and the reset date treated as unknown. Inventing a bank reply, a dissent name, or a December call is a fail even if the arithmetic is neat.

Chronology. April 2023 to December 2024: repo held at 6.50 percent. Easing cycle: minus 125 basis points, to 5.25 percent. December 2025: last cut. Next four meetings: hold, stance neutral. August 2026: hold confirmed; GDP 6.7 percent; CPI 5.0 percent. 5–7 October 2026: sixty-third meeting. 7 October: unanimous plus 25 basis points to 5.50 percent; corridor to 5.25 and 5.75; stance to calibrated tightening. Reuters the same day: inflation 5.2 percent, growth 7.1 percent. 8 October: this case. Minutes of the October meeting are not yet a source.

What a student should be able to say without notes. On 7 October 2026 the Committee raised the repo by 25 basis points to 5.50 percent, unanimously, and changed the stance to calibrated tightening. Cuts are off the table. The next step is a hike or a pause. The easing cycle had delivered 125 basis points of cuts, the last in December 2025. A CFO's job the next morning is transmission, the floating share, a re-run of any project signed under the old stance, and covenant headroom in numbers. An economist's further 50 to 75 basis points is a sensitivity. It is not the resolution.

Sources

Reserve Bank of India. Monetary Policy Statement, 2026–27. Resolution of the Monetary Policy Committee, 5 to 7 October 2026.

Statement by Shri Sanjay Malhotra, Governor, 7 October 2026, including the Bank's YouTube live statement.

The Hindu, 7 October 2026. RBI raises repo rate by 25 basis points to 5.50%, shifts stance to calibrated tightening.

Reuters, 7 October 2026. India joins global rate-tightening wave with first hike in nearly 4 years. Sakshi Gupta's 50–75 basis points is an analyst view.

Reserve Bank of India. Monetary Policy Statement, 3 to 5 August 2026. Repo held at 5.25 percent; stance neutral.

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Appendix A. A sample Monday note, written as Deshmukh would write it

This note is a teaching model. The firm is composite. The policy sentences are not.

To the board. On 7 October 2026 the Monetary Policy Committee raised the policy repo rate by 25 basis points to 5.50 percent. The vote on the rate was unanimous. The standing deposit facility rate is 5.25 percent. The marginal standing facility rate and the Bank Rate are 5.75 percent. The stance is now calibrated tightening. Governor Sanjay Malhotra said rate cuts are off the table in the near term, and that the next action can only be a hike or a pause. The stance change was by a majority of four to two. I do not have the names of the two in the statement. I will not guess them. The minutes are not yet published.

I am not asking the board for a view on the December meeting. The Governor said the length of any cycle depends on growth, underlying inflation, whether price pressures broaden, second-round effects of the supply shock, and demand. Reuters reported that the Bank's inflation forecast for the year was lifted to 5.2 percent from 5 percent, and the real GDP forecast to 7.1 percent from 6.7 percent. The Governor said headline inflation is expected to average almost 5.8 percent over the next three quarters, and that core inflation is projected at 4.4 percent this year. Sakshi Gupta of HDFC Bank told Reuters she expects another 50 to 75 basis points. That is her forecast. It is in the appendix. It is not our base case.

Our cash credit limit is ₹180 crore, on an external benchmark. Our term loan is ₹40 crore, fully drawn. If the bank transmits 25 basis points in full and at once, the pre-tax interest bill rises by ₹45 lakh on the limit and ₹10 lakh on the term loan. Average utilisation is nearer ₹160 crore, which is ₹40 lakh, not ₹45 lakh. I have written to the bank for the reset date on each facility and for the basis-point change it will apply. Until that letter returns, both figures are conditional. A policy print is not a debit.

The August machining-line paper used a 9.1 percent cost of debt and a cost of equity last touched after the December 2025 cut. I will bring it back in three columns before the next spend tranche: the August hurdle; debt 25 basis points higher; debt and equity each 25 basis points higher. The 50 and 75 basis point debt columns will be marked not policy. I am not asking you to kill the line because the repo moved 25 basis points. I am asking you not to confirm it on a stale hurdle. If it clears only the old column, it was a rate view.

Two customer contracts pass through metal and energy. None passes through interest. I will not put a financing surcharge on the November invoices. I will ask the largest customer for fifteen fewer days on new orders from January, and I will take four days out of finished-goods inventory, which does not need a signature. Receivable days are 78. Payable days are 41. That gap is a funding choice. It just became more expensive.

Interest cover was last 3.4 times against a 2.5 times test on EBIT, trailing twelve months, on the term loan and the cash credit, not on the crane lease. A 25 basis point pass-through does not break the test by itself. A pass-through plus a soft commercial-vehicle quarter might. I will show that combination. I will not use the word comfortable. I will not capitalise the hike onto the half-installed line to protect the profit-and-loss account.

Decision asked. Note the letter to the bank. Hold the next spend tranche until the three-column re-run. Decline the surcharge. That is the morning after. It is not a cycle call.

Appendix B. What the corridor is for, if you are not a treasurer

Students memorise the repo and forget the corridor. After 7 October the standing deposit facility sits 25 basis points under the repo and the marginal standing facility sits 25 basis points over it. The Bank Rate moved with the marginal standing facility. The shape did not change. The level did. Narmada does not pay the standing deposit facility rate. The corridor still belongs in the note, because the resolution moved all four numbers, and a note that mentions one looks unfinished. The prior corridor, at the August hold, was repo 5.25, standing deposit facility 5.00, marginal standing facility and Bank Rate 5.50. Every rate stepped up by the same 25 basis points. The thing that did not step up by a number was the stance. Neutral became calibrated tightening. That is the sentence that

kills a cut in the base case.

Appendix C. A bad Monday, described so it can be avoided

A bad meeting ends with a director asking for the reset date and being told it will be chased. The letter should already have gone. A bad meeting ends with the machining line confirmed on the August hurdle so the board does not look indecisive. Indecision is cheaper than a project that only works if the rate goes back. A bad meeting ends with a surcharge instruction the contract will not carry. A good meeting ends with three decisions: the letter, the re-run before the next tranche, and days rather than an invented price. None of those requires a view on December. That is the relief in the Governor's formulation, if a finance chief is willing to take it. The cycle's length is contingent. The firm's job is to know its own book well enough that contingency is a column, not a surprise.

Appendix D. Separating a decision from a quote

On the morning after a policy day the dangerous document is the clean table. The assistant's model put 75 basis points in the base case because the stance had changed. The stance language does the opposite of what the model inferred. It says the next move is a hike or a pause, and that the length is not pre-announced. Calibrated tightening, in the Governor's later words to the press, is a milder form of tightening, more data-dependent than pre-determined. A finance chief who prices in 100 basis points by March is running a view. A finance chief who cannot show the board the effect of 25 is not running the function.

The same discipline applies to the 5.8 and the 5.2. One is the Governor's description of the next three quarters. The other is the full-year forecast Reuters reported as revised from 5 percent. Averaging them into a house inflation number is how a pack starts to invent. Narmada does not have a house inflation number. It has customers, a metal clause, and a floating book. Core at 4.4 percent tells the commercial director that food and fuel are doing part of the work. The metal clause catches some energy. It does not catch financing, and it does not catch a wage settlement. A second-round effect is one of the things the Governor named. It is a watch item. It is not a provision on 8 October.

Appendix E. Where this series sits

On 9 September this series taught the August hold: repo unchanged at 5.25 percent, stance neutral, growth 6.7 percent, inflation 5.0 percent, and the argument that WACC can move even when the repo does not. Today's case is the sequel, not a correction. The hold ended. The forecasts reported by Reuters moved. The lesson about a stale cost of equity did not expire. It became cash. Students who still have the September pack should be able to point at the cell that changed and the cell that did not. The cell that changed is the rate and the stance. The cell that did not change is the duty to label an assumption.

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Appendix F. A hand calculation, with the assumption in the same line

Take the cash-credit limit of ■180 crore. Multiply by 0.0025. The product is ■0.45 crore, which is ■45 lakh. That product is the annual pre-tax interest delta if, and only if, the whole limit is drawn and the bank transmits 25 basis points in full for a full year. Write the if on the same line. A board that sees ■45 lakh without the if will treat a sensitivity as a forecast of the interest account.

Read the line again against the source before you put it in the Monday pack. A known unknown is a better sentence than a fluent guess. The minutes are not a source yet. The bank's reply is not a source yet. Gupta's range is a quote. The repo at 5.50 percent is a decision.

Utilisation, not the limit

If average draw is ■160 crore, the same 25 basis points is ■40 lakh. The ■5 lakh difference is the undrawn headroom priced at the new rate only when it is drawn. Deshmukh shows both. Students who show one have chosen a story. The function's job is to show the book the firm actually uses and the book the firm can still use.

Read the line again against the source before you put it in the Monday pack. A known unknown is a better sentence than a fluent guess. The minutes are not a source yet. The bank's reply is not a source yet. Gupta's range is a quote. The repo at 5.50 percent is a decision.

The term loan has no utilisation debate

■40 crore times 0.0025 is ■10 lakh a year. The debate is the reset date. A quarterly reset last struck on 1 September does not pick up 7 October until December. Expense follows the contract. The run-rate can still be shown. Pulling the ■10 lakh into October is a period error, not prudence.

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Fifty and seventy-five, kept in their column

Fifty basis points on ■220 crore is ■1.10 crore. Seventy-five is ■1.65 crore. Those columns exist because an economist at HDFC Bank told Reuters she expects another 50 to 75 basis points. They are not the Reserve Bank's path. The header of the column is the control. If the header says base case, the note has failed even if the multiplication is right.

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Equity, without a fake premium

The August paper's cost of equity is stale. The case does not invent a replacement percentage, because no print on 8 October published a cost of equity for a firm that does not exist. The middle column raises the August equity figure by 25 basis points and labels the raise as an assumption. A student who writes 14.2

percent because a textbook did has left the case.

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The project test

Outlay ■70 crore. The question is not the net present value to the lakh. The question is whether the line still clears when debt is 25 basis points dearer and equity is 25 basis points dearer. If it clears, take it back with the sensitivity attached. If it clears only at the August hurdle, the August approval was a rate view. Do not kill it for the headline alone. Do not keep it to avoid looking indecisive.

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Days before price

Receivable days 78, payable days 41. The gap is funded on the floating book. A two percent surcharge is not in the metal clause. Late-payment interest starts after the due date. The options that survive a reading of the contract are a request for fewer days and an inventory cut the plant can make alone. Price is the easy slide. It is the wrong one.

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Cover, stated so a director can test it

Last cover 3.4 times. Test 2.5 times. Definition: EBIT over interest on the term loan and the cash credit. The crane lease is outside. A 25 basis point pass-through does not break 2.5 by itself. The same pass-through plus softer offtake, if dealer finance tightens, might. Show the combination. Strike the adjective.

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What the model will get wrong if you let it

It will put 75 in the base case. It will cite no document. It will average 5.8 and 5.2. It will name the two dissenters. It will book the interest in October. Each of those is a fluent error. The check is the same each time. Is this sentence in the resolution, in the Governor's statement, in a named Reuters report, or in the facility agreement? If it is in none of them, it is not a fact in this pack.

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The close

AI generates the table. The resolution, the statement, the Reuters revisions and the bank's letter inform it. Finance measures the interest delta and the change in the project. Accounting verifies period, capitalisation and disclosure. Judgment decides whether the line still earns its keep. That is the job on 8 October 2026. Future CFO_DP. Created and Copyright by Dr. Debasis Pahi.

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